

Auditing

Complete student lesson for course code **3143**.

Revision 2026 Semester 3 Program Core 4 modules

Course snapshot

Scheme: 5 (L:4,T:1,P:0); 75 periods

Credits: 5

Contact: 5 (L:4,T:1,P:0)

Module hours listed: 73

Official Source Declaration

This lesson uses the supplied official syllabus PDF as the authoritative source for course information, revision, modules, topics, objectives, Course Outcomes, assessment information, official activities, practical requirements, and references.

Source handling: Official wording and numerical values are retained wherever supplied. Educational explanations, Malayalam support, examples, diagrams, and revision questions are added as study support and are not presented as additional official requirements.

Transparency note: Official assessment information is reproduced below from the supplied syllabus. Any limitation in the supplied PDF is not silently corrected.

How to Study This Lesson

Recommended sequence

1. Begin with the official source declaration and course dashboard.

2. Study each module in the official order and keep the coverage table as a checklist.
3. Open every topic, understand the example or procedure, and write your own short answer.
4. Use the revision section, glossary, questions, and practice paper after completing the modules.

Study principle: Keep English technical terminology, symbols, units, and official assessment wording unchanged in examination answers. Use the Malayalam support blocks only as a bridge to understanding.

Course Dashboard

Course code

3143

Semester

3

Credits

5

Teaching scheme

5 (L:4,T:1,P:0); 75 periods

Module-hour and outcome mapping

No.	Module	Official hours	Relevant CO / level
1	Basic concepts of auditing	18	CO1 · Applying
2	Internal check and internal audit	17	CO2 · Applying
3	Vouching, verification and valuation	24	CO3 · Applying
4	Social audit and company auditors	14	CO4 · Applying

Prerequisites

- Financial Accounting I; Financial Accounting II.

How to study this lesson

1. Read the module introduction and learning goals.
2. Open every topic and reproduce its example, sequence, or procedure.
3. Use Malayalam support as a bridge; retain English technical terms for examinations.
4. Attempt the module questions without looking at the answers.

Objectives, Course Outcomes and CO-PO Information

Official course objectives

1. To understand objective and concepts of auditing and gain working knowledge of generally accepted auditing procedures.
2. To acquire skills and techniques required to conduct audit.
3. To enables students to examine all types of financial records, including payroll records, accounting books and inventory records.

Course Outcomes

1. Use the basic concept of auditing.
2. Interpret the effectiveness of the organization's risk management.
3. Identify the validity of the transactions of a business entered in the books of account.
4. Evaluate an entity's involvement in social endeavors and identify the auditor's role as per the Companies Act 2013.

CO-PO mapping as supplied

CO-PO mapping is reproduced from the supplied syllabus header; 3 = strongly mapped, 2 = moderately mapped, 1 = weakly mapped, and a blank cell is not silently converted into a value.

Complete Syllabus Coverage

Use this checklist to confirm that every official module topic is represented in the lesson.

Complete official topic coverage checklist

Module	Topic code	Topic	Hours
module-1	M1.01	Definition, objectives, advantages and limitations	5
module-1	M1.02	Classification of audits	8
module-1	M1.03	Bookkeeping, auditing and investigation	2
module-1	M1.04	Principles and techniques of auditing	3
module-2	M2.01	Internal check: meaning, advantages and limitations	4
module-2	M2.02	Internal check for cash, purchases, sales and wages	9
module-2	M2.03	Internal audit	2
module-2	M2.04	Internal audit and external audit	2
module-3	M3.01	Objectives and importance of vouching	2
module-3	M3.02	Vouching and verification	2
module-3	M3.03	Vouching cash book and trading transactions	8
module-3	M3.04	Verification and valuation of fixed assets	5
module-3	M3.05	Verification and valuation of current assets	3
module-3	M4.06	Verification and valuation of liabilities	4
module-4	M4.01	Social audit	6
module-4	M4.02	Auditor under Companies Act 2013	5
module-4	M4.03	Audit report and report types	3

Learning Roadmap

1. Basic concepts of auditing
CO1 · Applying · 18 hours

2. Internal check and internal audit
CO2 · Applying · 17 hours

3. Vouching, verification and valuation
CO3 · Applying · 24 hours

**4. Social audit and
company auditors**
**CO4 · Applying · 14
hours**

The roadmap follows the order of the supplied syllabus.

OFFICIAL MODULE 1

Basic concepts of auditing

The official content covers definition, bookkeeping versus auditing, investigation versus auditing, objectives, advantages, limitations, classification by organisational structure, statutory/private/government/commercial/internal/continuous/annual/balance-sheet/cash/cost audits, and principles and techniques.

Hours: 18

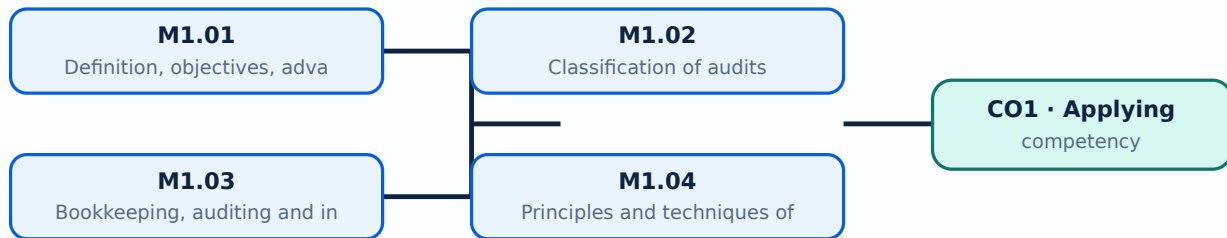
CO1 · Applying · Bloom level: Understanding

Learning goals

- Define auditing and distinguish related activities.
- Classify audits.
- State principles and techniques.

Module study tip

Read every topic in sequence, reproduce its example or procedure, and write a short explanation before attempting the module questions.



Learning map for Module module-1: the listed topics build the module competency.

– M1.01 — Definition, objectives, advantages and limitations (5 hours)

Concept and explanation

Auditing is a systematic examination of records, evidence and statements against applicable criteria. Objectives include expressing an opinion, detecting material misstatement and improving confidence; limitations arise from sampling, judgement, time and the possibility of concealed fraud.

Malayalam support: ഞങ്ങൾ ഞങ്ങളുടെ ഞങ്ങളുടെ ഞങ്ങളുടെ English technical terms ഞങ്ങളുടെ ഞങ്ങളുടെ.

Study points

- Define auditing.
- State objectives.
- Explain limitations.

– M1.02 — Classification of audits (8 hours)

Concept and explanation

Audits may be statutory, private, government, commercial, internal, continuous, annual, balance-sheet, cash or cost audits. Classification depends on authority, purpose, scope, timing and subject matter.

Malayalam support: ഞ ഞ ഞ ഞ ഞ ഞ ഞ ഞ ഞ ഞ English technical terms ഞ ഞ ഞ ഞ ഞ ഞ ഞ.

Study points

- Compare audit classes.
- Identify the responsible authority.
- Relate scope to purpose.

– M1.03 — Bookkeeping, auditing and investigation (2 hours)

Concept and explanation

Bookkeeping records transactions, auditing examines records and evidence, and investigation is a targeted enquiry for a specific purpose. Their objectives, evidence and reporting differ.

Malayalam support: ഞ ഞ ഞ ഞ ഞ ഞ ഞ ഞ ഞ ഞ English technical terms ഞ ഞ ഞ ഞ ഞ ഞ ഞ.

Study points

- Compare the three activities.
- Avoid treating an audit as an investigation.
- State the role of evidence.

– M1.04 — Principles and techniques of auditing (3 hours)

Concept and explanation

Audit principles include independence, integrity, objectivity, confidentiality, professional competence and due care. Techniques include inspection, observation, enquiry, confirmation, recalculation, analytical procedures and documentation.

Malayalam support: ഞങ്ങൾ ഞങ്ങളുടെ ഞങ്ങളുടെ English technical terms ഞങ്ങളുടെ ഞങ്ങളുടെ.

Study points

- List core principles.
- Match technique to evidence.
- Maintain working papers.

Module summary: Auditing provides independent examination and evidence-based assurance; it is not the same as bookkeeping or investigation.

OFFICIAL MODULE 2

Internal check and internal audit

The official content covers internal-check definition, objectives, advantages and limitations; internal check for cash receipts/payments, purchases/sales and wages; internal audit; internal check versus internal audit; internal audit versus external audit.

Hours: 17

CO2 · Applying · Bloom level: Understanding

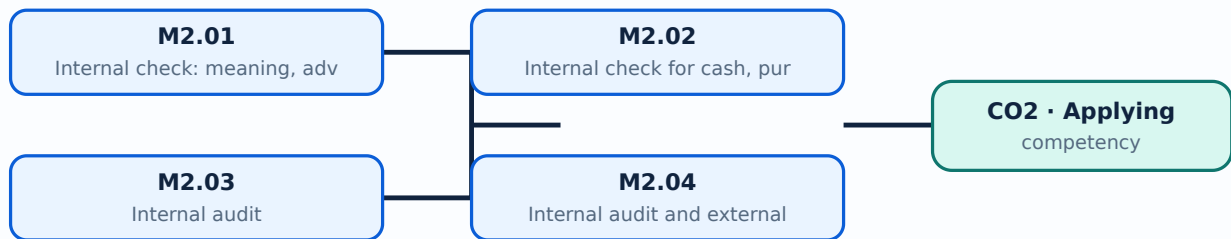
Learning goals

- Interpret internal-control effectiveness.
- Design or identify checks for common transactions.

- Compare internal and external audit.

Module study tip

Read every topic in sequence, reproduce its example or procedure, and write a short explanation before attempting the module questions.



Learning map for Module module-2: the listed topics build the module competency.

– M2.01 — Internal check: meaning, advantages and limitations (4 hours)

Concept and explanation

An internal check is a system in which the work of one person is automatically checked by another through division of duties and coordinated procedures. It can reduce error and fraud but may be limited by collusion, cost or poor design.

Malayalam support: ഞങ്ങൾക്ക് ഇംഗ്ലീഷ് ടെക്നിക്കൽ ടേർമിനോളജി നൽകാൻ സഹായിക്കുക.

Study points

- Define internal check.
- State objectives.
- Recognise limitations.

– M2.02 — Internal check for cash, purchases, sales and wages (9 hours)

Concept and explanation

Cash systems need authorisation, custody, receipts, banking and reconciliation. Purchase and sales systems need approved orders, receiving, invoicing and recording; wage systems need attendance, payroll preparation, authorisation and payment control.

Malayalam support: ഏകദേശം പരിശോധനാപരിപാടി English technical terms പരിശോധനാ പരിപാടി.

Study points

- Map transaction stages.
- Identify segregation of duties.
- List evidence of review.

– M2.03 — Internal audit (2 hours)

Concept and explanation

Internal audit is an independent appraisal within the organisation that evaluates controls, risk, governance and operations. It supports management but should retain objectivity.

Malayalam support: ഏകദേശം പരിശോധനാപരിപാടി English technical terms പരിശോധനാ പരിപാടി.

Study points

- State objectives.
- Explain advantages.
- Recognise limitations.

— M2.04 — Internal audit and external audit (2 hours)

Concept and explanation

Internal audit is an organisational function focused on improvement and risk; external audit is independent assurance for users under applicable requirements. Scope, appointment, reporting and responsibility differ.

Malayalam support: ഞങ്ങൾക്ക് ഇംഗ്ലീഷ് ടെക്നിക്കൽ ടേർമിനോളജി നൽകിയിരിക്കുന്നു. **English technical terms** are provided.

Study points

- Compare purpose and independence.
- Identify users of reports.
- Avoid confusing roles.

Module summary: Risk management improves when duties, authorisation, custody, recording and review are separated and documented.

OFFICIAL MODULE 3

Vouching, verification and valuation

The official content covers objectives and importance of vouching, vouchers, vouching versus verification, cash-book and trading transactions, fixed and current assets, liabilities and valuation.

Hours: 24

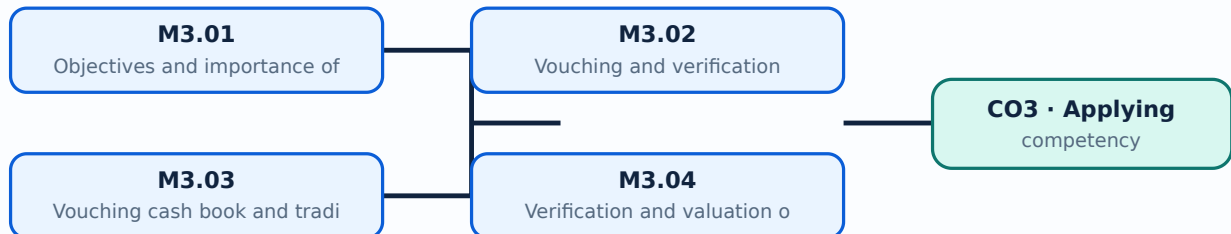
CO3 · Applying · Bloom level: Applying

Learning goals

- Examine transaction validity.
- Vouch cash and trading transactions.
- Verify and value assets and liabilities.

Module study tip

Read every topic in sequence, reproduce its example or procedure, and write a short explanation before attempting the module questions.



Learning map for Module module-3: the listed topics build the module competency.

– M3.01 — Objectives and importance of vouching (2 hours)

Concept and explanation

Vouching examines documentary evidence supporting entries in books. A voucher should be authentic, authorised, relevant, complete and linked to the recorded transaction.

Malayalam support: ഞ ഞ ഞ ഞ ഞ ഞ ഞ ഞ ഞ ഞ English technical terms ഞ ഞ ഞ ഞ ഞ ഞ ഞ.

Study points

- Define vouching.
- State objectives.
- Identify a suitable voucher.

– M3.02 — Vouching and verification (2 hours)

Concept and explanation

Vouching tests recorded transactions through evidence; verification establishes existence, ownership, rights, completeness and condition of assets or liabilities. Valuation determines an appropriate amount.

Malayalam support: വായ്പയും സ്ഥിരീകരണവും English technical terms വായ്പയും സ്ഥിരീകരണവും.

Study points

- Compare the terms.
- Choose the right procedure.
- Document exceptions.

– M3.03 — Vouching cash book and trading transactions (8 hours)

Concept and explanation

Cash receipts, cash sales, cash payments and capital expenditure require evidence such as receipts, invoices, authorisations, bank records and supporting documents. Purchases, returns, sales, bills receivable and bills payable require matching records.

Malayalam support: വായ്പയും സ്ഥിരീകരണവും English technical terms വായ്പയും സ്ഥിരീകരണവും.

Study points

- Vouch a cash entry.
- Trace a purchase or sale.
- Check authorisation and period.

– M3.04 — Verification and valuation of fixed assets (5 hours)

Concept and explanation

Plant and machinery, freehold and leasehold property, furniture, fixtures, motor vehicles, copyright, patents, trade marks and goodwill require evidence of existence, ownership, rights and appropriate valuation.

Malayalam support: ഏതെങ്കിലും സ്ഥിരവസ്തുവിന്റെ നിലവിലുള്ളതും ഉടമസ്ഥതയും വിലയിരുത്തലും English technical terms നിലവിലുള്ളതും ഉടമസ്ഥതയും വിലയിരുത്തലും.

Study points

- Identify evidence.
- Check ownership or rights.
- State valuation concerns.

– M3.05 — Verification and valuation of current assets (3 hours)

Concept and explanation

Cash in hand, cash at bank, bills receivable, debtors and investments require confirmation, reconciliation, inspection and valuation procedures appropriate to their nature.

Malayalam support: ഏതെങ്കിലും സ്ഥിരവസ്തുവിന്റെ നിലവിലുള്ളതും ഉടമസ്ഥതയും വിലയിരുത്തലും English technical terms നിലവിലുള്ളതും ഉടമസ്ഥതയും വിലയിരുത്തലും.

Study points

- Select evidence.
- Check recoverability or existence.
- Reconcile balances.

— M4.06 — Verification and valuation of liabilities (4 hours)

Concept and explanation

Fixed liabilities such as debentures and capital and current liabilities such as creditors, loans, bills payable, overdrafts, outstanding liabilities, income received in advance, taxation and provisions require completeness and obligation checks.

Malayalam support: ഏകദേശം പരിശോധനാപരമായ പരിശോധനാപരമായ English technical terms പരിശോധനാപരമായ പരിശോധനാപരമായ.

Study points

- Search for unrecorded liabilities.
- Confirm balances.
- Distinguish obligation and valuation.

Module summary: Audit evidence must establish occurrence, completeness, accuracy, ownership, valuation and presentation as relevant.

OFFICIAL MODULE 4

Social audit and company auditors

The official content covers social audit meaning, objectives, advantages, limitations, need and disclosure categories; auditor qualifications, disqualifications, appointment, remuneration, powers, duties, liabilities, removal; audit reports, essentials and types; and the auditor's role under Companies Act 2013.

Hours: 14

CO4 · Applying · Bloom level: Understanding

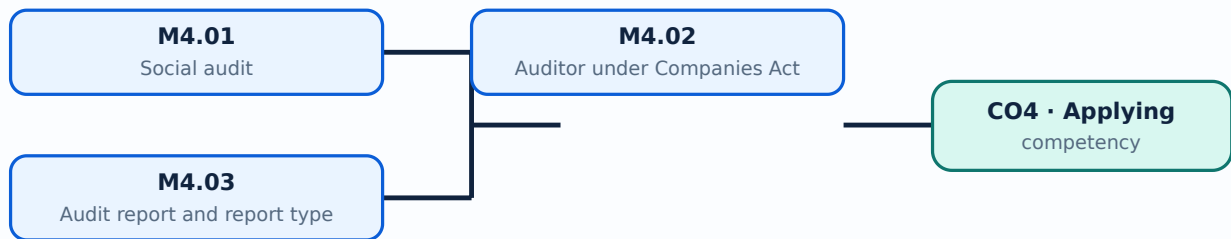
Learning goals

- Explain social-audit purpose and disclosure.
- Identify auditor duties and liabilities.

- Interpret different audit reports.

Module study tip

Read every topic in sequence, reproduce its example or procedure, and write a short explanation before attempting the module questions.



Learning map for Module module-4: the listed topics build the module competency.

– M4.01 — Social audit (6 hours)

Concept and explanation

Social audit evaluates an organisation's social performance, impact, accountability and disclosure. It can improve transparency and stakeholder participation but requires defined criteria and reliable information.

Malayalam support: ഞങ്ങൾ സാമൂഹിക പരിവർത്തനം ഉറപ്പാക്കുന്നതിനായി സാമൂഹിക പരിവർത്തനം. English technical terms സാമൂഹിക പരിവർത്തനം.

Study points

- Define social audit.
- State objectives and need.
- Classify information to be disclosed.

– M4.02 — Auditor under Companies Act 2013 (5 hours)

Concept and explanation

The auditor's role includes qualification and disqualification, appointment, remuneration, powers, duties, liabilities and removal under the applicable legal framework. Students should distinguish syllabus learning from current legal advice.

Malayalam support: ഞങ്ങൾ ഞങ്ങളുടെ ഞങ്ങളുടെ English technical terms ഞങ്ങളുടെ ഞങ്ങളുടെ.

Study points

- List role areas.
- Explain independence and responsibility.
- Use the current Act and rules for practice.

– M4.03 — Audit report and report types (3 hours)

Concept and explanation

An audit report communicates the auditor's conclusion and includes essential identification, scope, responsibility and opinion elements. Different report types reflect different evidence or materiality conditions.

Malayalam support: ഞങ്ങൾ ഞങ്ങളുടെ ഞങ്ങളുടെ English technical terms ഞങ്ങളുടെ ഞങ്ങളുടെ.

Study points

- State report essentials.
- Distinguish report types.
- Link conclusion to evidence.

Module summary: Audit reporting communicates evidence-based conclusions; the applicable law and current professional guidance must be checked for real work.

Formula and Notation Bank

Formula note: The supplied syllabus is primarily procedural or conceptual and does not prescribe a compulsory numerical formula bank. Focus on the official terminology, sequences, records, and practical demonstrations listed in the modules.

Diagram Library for Rapid Revision

[Module 1: Internal check](#)

[Open the module to view its labelled learning-map diagram.](#)

[Module 2: Internal check](#)

[Open the module to view its labelled learning-map diagram.](#)

[Module 3: Vouching,](#)

[Open the module to view its labelled learning-map diagram.](#)

[Module 4: Social audit and](#)

[Open the module to view its labelled learning-map diagram.](#)

[Module 2: Internal check](#)

[Module 3: Vouching,](#)

[Module 4: Social audit and](#)

Official Activities and Practical Requirements

Official activities / self-learning

- No separate activity list is provided in the supplied PDF.

Practical requirements / equipment

- No separate practical equipment list is provided in the supplied PDF.

Assessment Methodology

Official assessment information is reproduced below from the supplied syllabus.

- Series Test: 2 periods/assessment component as stated in the supplied syllabus; the supplied header does not state a separate CIE/ESE mark distribution.

Module-wise Questions and Answers

module-1 — Basic concepts of auditing

1. Explain Definition, objectives, advantages and limitations. [3 marks]

Auditing is a systematic examination of records, evidence and statements against applicable criteria. Objectives include expressing an opinion, detecting material misstatement and improving confidence; limitations arise from sampling, judgement, time and the possibility of concealed fraud.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

2. Explain Classification of audits. [3 marks]

Audits may be statutory, private, government, commercial, internal, continuous, annual, balance-sheet, cash or cost audits. Classification depends on authority, purpose, scope, timing and subject matter.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

3. Explain Bookkeeping, auditing and investigation. [3 marks]

Bookkeeping records transactions, auditing examines records and evidence, and investigation is a targeted enquiry for a specific purpose. Their objectives, evidence and reporting differ.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

4. Explain Principles and techniques of auditing. [3 marks]

Audit principles include independence, integrity, objectivity, confidentiality, professional competence and due care. Techniques include inspection, observation, enquiry, confirmation, recalculation, analytical procedures and documentation.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

module-2 — Internal check and internal audit

5. Explain Internal check: meaning, advantages and limitations. [3 marks]

An internal check is a system in which the work of one person is automatically checked by another through division of duties and coordinated procedures. It can reduce error and fraud but may be limited by collusion, cost or poor design.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

6. Explain Internal check for cash, purchases, sales and wages. [3 marks]

Cash systems need authorisation, custody, receipts, banking and reconciliation. Purchase and sales systems need approved orders, receiving, invoicing and recording; wage systems need attendance, payroll preparation, authorisation and payment control.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

7. Explain Internal audit. [3 marks]

Internal audit is an independent appraisal within the organisation that evaluates controls, risk, governance and operations. It supports management but should retain objectivity.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

8. Explain Internal audit and external audit. [3 marks]

Internal audit is an organisational function focused on improvement and risk; external audit is independent assurance for users under applicable requirements. Scope, appointment, reporting and responsibility differ.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

module-3 — Vouching, verification and valuation

9. Explain Objectives and importance of vouching. [3 marks]

Vouching examines documentary evidence supporting entries in books. A voucher should be authentic, authorised, relevant, complete and linked to the recorded transaction.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

10. Explain Vouching and verification. [3 marks]

Vouching tests recorded transactions through evidence; verification establishes existence, ownership, rights, completeness and condition of assets or liabilities. Valuation determines an appropriate amount.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

11. Explain Vouching cash book and trading transactions. [3 marks]

Cash receipts, cash sales, cash payments and capital expenditure require evidence such as receipts, invoices, authorisations, bank records and supporting documents. Purchases, returns, sales, bills receivable and bills payable require matching records.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

12. Explain Verification and valuation of fixed assets. [3 marks]

Plant and machinery, freehold and leasehold property, furniture, fixtures, motor vehicles, copyright, patents, trade marks and goodwill require evidence of existence, ownership, rights and appropriate valuation.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

module-4 — Social audit and company auditors

13. Explain Social audit. [3 marks]

Social audit evaluates an organisation's social performance, impact, accountability and disclosure. It can improve transparency and stakeholder participation but requires defined criteria and reliable information.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

14. Explain Auditor under Companies Act 2013. [3 marks]

The auditor's role includes qualification and disqualification, appointment, remuneration, powers, duties, liabilities and removal under the applicable legal framework. Students should distinguish syllabus learning from current legal advice.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

15. Explain Audit report and report types. [3 marks]

An audit report communicates the auditor's conclusion and includes essential identification, scope, responsibility and opinion elements. Different report types reflect different evidence or materiality conditions.

Exam focus: State the definition or purpose, explain the working or sequence, and add one application or caution.

Practice Model Question Paper

Practice Model Paper — Not an Official Examination Paper

This paper is generated from the supplied module coverage for revision and does not claim to reproduce the official examination pattern.

1. **1.** Define or explain *Definition, objectives, advantages and limitations* with one relevant application. (5 marks)
2. **2.** Define or explain *Classification of audits* with one relevant application. (5 marks)
3. **3.** Define or explain *Internal check: meaning, advantages and limitations* with one relevant application. (5 marks)
4. **4.** Define or explain *Internal check for cash, purchases, sales and wages* with one relevant application. (5 marks)
5. **5.** Define or explain *Objectives and importance of vouching* with one relevant application. (5 marks)
6. **6.** Define or explain *Vouching and verification* with one relevant application. (5 marks)
7. **7.** Define or explain *Social audit* with one relevant application. (5 marks)
8. **8.** Define or explain *Auditor under Companies Act 2013* with one relevant application. (5 marks)

Writing advice: Use headings, standard terminology, and labelled diagrams or procedures where relevant.

Quick Revision

Module-wise key points

- **Basic concepts of auditing:** Auditing provides independent examination and evidence-based assurance; it is not the same as bookkeeping or investigation.
- **Internal check and internal audit:** Risk management improves when duties, authorisation, custody, recording and review are separated and documented.
- **Vouching, verification and valuation:** Audit evidence must establish occurrence, completeness, accuracy, ownership, valuation and presentation as relevant.
- **Social audit and company auditors:** Audit reporting communicates evidence-based conclusions; the applicable law and current professional guidance must be checked for real

work.

Exam checklist

- Write the official terminology before adding explanation.
- Use a labelled diagram or step sequence when it improves the answer.
- Check conditions, boundaries, safety, hygiene, and documentation points.
- Separate official syllabus information from your own example.

Last-minute revision: Review the coverage table, formula bank, diagram library, and common-mistake notes inside every topic.

Glossary

Technical glossary

Term	Short meaning
Definition, objectives, advantages and limitations	Auditing is a systematic examination of records, evidence and statements against applicable criteria. Objectives include expressing an opinion, detecting material misstatement and improving confidence; limitations arise from sampling, judgement, time and the p
Classification of audits	Audits may be statutory, private, government, commercial, internal, continuous, annual, balance-sheet, cash or cost audits. Classification depends on authority, purpose, scope, timing and subject matter.
Bookkeeping, auditing and investigation	Bookkeeping records transactions, auditing examines records and evidence, and investigation is a targeted enquiry for a specific purpose. Their objectives, evidence and reporting differ.
Principles and techniques of auditing	Audit principles include independence, integrity, objectivity, confidentiality, professional competence and due care. Techniques include inspection, observation, enquiry, confirmation, recalculation, analytical procedures and documentation.
Internal check: meaning, advantages and limitations	An internal check is a system in which the work of one person is automatically checked by another through division of duties and coordinated procedures. It can reduce error and fraud but may be limited by collusion, cost or poor design.
Internal check for cash, purchases, sales and wages	Cash systems need authorisation, custody, receipts, banking and reconciliation. Purchase and sales systems need approved orders, receiving, invoicing and recording; wage systems need attendance, payroll preparation, authorisation and payment control.

Term	Short meaning
Internal audit	Internal audit is an independent appraisal within the organisation that evaluates controls, risk, governance and operations. It supports management but should retain objectivity.
Internal audit and external audit	Internal audit is an organisational function focused on improvement and risk; external audit is independent assurance for users under applicable requirements. Scope, appointment, reporting and responsibility differ.
Objectives and importance of vouching	Vouching examines documentary evidence supporting entries in books. A voucher should be authentic, authorised, relevant, complete and linked to the recorded transaction.
Vouching and verification	Vouching tests recorded transactions through evidence; verification establishes existence, ownership, rights, completeness and condition of assets or liabilities. Valuation determines an appropriate amount.
Vouching cash book and trading transactions	Cash receipts, cash sales, cash payments and capital expenditure require evidence such as receipts, invoices, authorisations, bank records and supporting documents. Purchases, returns, sales, bills receivable and bills payable require matching records.
Verification and valuation of fixed assets	Plant and machinery, freehold and leasehold property, furniture, fixtures, motor vehicles, copyright, patents, trade marks and goodwill require evidence of existence, ownership, rights and appropriate valuation.
Verification and valuation of current assets	Cash in hand, cash at bank, bills receivable, debtors and investments require confirmation, reconciliation, inspection and valuation procedures appropriate to their nature.
Verification and valuation of liabilities	Fixed liabilities such as debentures and capital and current liabilities such as creditors, loans, bills payable, overdrafts, outstanding liabilities, income received in advance, taxation and provisions require completeness and obligation checks.
Social audit	Social audit evaluates an organisation's social performance, impact, accountability and disclosure. It can improve transparency and stakeholder participation but requires defined criteria and reliable information.
Auditor under Companies Act 2013	The auditor's role includes qualification and disqualification, appointment, remuneration, powers, duties, liabilities and removal under the applicable legal framework. Students should distinguish syllabus learning from current legal advice.
Audit report and report types	An audit report communicates the auditor's conclusion and includes essential identification, scope, responsibility and opinion elements. Different report types reflect different evidence or materiality conditions.

Official References and Resources

References listed in the supplied syllabus

1. Prof. A. Assankutty and Dr. Azhara A., Auditing.

2. Dr. T.R. Sharma, Auditing.
3. Dinkar Pagare, Principles and Practice of Auditing.
4. Prof. P.R. Sreedharan Pillai, Auditing.
5. Shekhar and Shekhar, Auditing.

Official learning resources listed

- https://www.tutorialspoint.com/auditing/auditing_classifications.htm
- <https://theinvestorsbook.com/vouching.html>
- https://www.tutorialspoint.com/auditing/auditing_trading_transactions.htm

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